Universal Hypotheses Playbook

This document contains the standard 17 rules used for evaluating contracts.

1. Contains confidentiality clause
Requirement: Must explicitly state that non-public information shall be kept confidential.

2. Terminable for convenience
Requirement: Must allow either party to terminate for any reason without a breach.

3. Governing law is New York
Requirement: Must explicitly state governed by the laws of the State of New York.

4. Contains non-compete clause
Requirement: Must restrict a party from competing during or after the agreement.

5. Contains non-solicitation clause
Requirement: Must restrict poaching of employees, customers, or clients.

6. Limits liability to contract value
Requirement: Must cap damages at the total fees paid under the contract.

7. Contains indemnification clause
Requirement: Must require one party to compensate the other for certain damages.

8. Requires arbitration
Requirement: Must mandate binding arbitration for dispute resolution.

9. Automatically renews
Requirement: Must state the contract renews automatically unless notice is given.

10. Allows assignment without consent
Requirement: Must permit a party to assign the contract without the other's permission.

11. Includes force majeure clause
Requirement: Must excuse performance due to unforeseeable circumstances (Acts of God).

12. Defines IP ownership
Requirement: Must explicitly state who owns newly created intellectual property.

13. Requires notice for breach
Requirement: Must require a specific written notice period to cure a material breach.

14. Excludes consequential damages
Requirement: Must waive indirect, punitive, or consequential damages.

15. Contains severability clause

Requirement: Must state that if one clause is invalid, the rest of the contract survives.

16. Contains entire agreement clause

Requirement: Must state this document supersedes all prior agreements (integration).

17. Permits auditing

Requirement: Must give one party the right to audit the records of the other party.